SONARGAON UNIVERSITY (SU)
Department of Business Administration
Program: BBA
Semester Final Examination, Spring 2025
Section: BBA0125-Elbert (30A1)
Course Code: BA 2205
Course Title: Financial Management
Course Teacher: Md. Shahbub Alam
Set: A

Time: 2 Hours **Full Marks: 40**

Instruction: Marks in the right margin indicate marks of the question.
Answer any four questions out of five questions. All questions are of equal value.

1. Details of the capital structure of Celtic Enterprises, a specialist printing company, are as follows: 10 PLO 3, CLO 3

Sources of Capital	TK. (million)
Ordinary share capital (Tk. 10 ordinary shares fully paid)	5
6% Preference shares (Tk. 10 nominal value)	2
Retained earnings	14
7% Debentures (irredeemable) Tk. 1000 par	1
8% Debentures (redeemable) Tk. 1000 par	2

Ordinary shares are currently trading at Tk. 30 and a dividend of Tk. 3.5 per share is due for payment. Dividend per share has been growing at 4 per cent per annum and the directors expect this rate of growth to continue. Preference shares have a current market value of Tk. 9.

The irredeemable debentures are trading at Tk. 950. The redeemable debentures are due for redemption in 5 years and currently have a market value of Tk. 850. The rate of corporation tax is 40 per cent.

Calculate the weighted average cost of capital (WACC).

2. (a) Discuss why retained earnings are generally considered a cheaper source of equity financing compared to issuing new ordinary shares. 5 PLO 3, CLO 4

(b) The financial manager of Blue Ocean Ltd. wants to determine the firm's cost of equity capital using the Capital Asset Pricing Model (CAPM). According to the firm's financial advisor, the risk-free rate is currently 5%, the expected market return is 10%, and the company's beta is 1.5. 5 PLO 4, CLO 5

Using this information, calculate the cost of equity.

3. RFL Industries' most recent annual dividend was Tk. 7.80 per share, and the firm's required return is 12%. Find the market value of RFL's shares when: 10 PLO 4, CLO 4

i. Dividends are expected to grow at a annual rate of 0% to infinity.
ii. Dividends are expected to grow at a constant annual rate of 5% to infinity.
iii. Dividends are expected to grow at annually 6% for first two years, 5% for the next two years, followed by a 4% constant annual growth rate in years 5 to infinity.

4. (a) NPV is better measure or technique among all techniques of capital budgeting. Explain. 5 PLO 3, CL

(b) State the rationale between NPV and PI. 5 PLO 3, CL

5. A firm whose cost of capital is 10% is considering two mutually exclusive projects X and Y, the details of which are: 10 PLO 4, CL

	Year	Project X	Project Y
Cost	0	Tk. 80,000	Tk. 80,000
Cash inflows	1	40,000	30,000
	2	30,000	30,000
	3	25,000	30,000
	4	35,000	30,000

a. Calculate each project's payback period (PBP), net present value (NPV), internal rate of return (IRR) and profitability index (PI).
b. Which project should be accepted if they are mutually exclusive?

SONARGAON UNIVERSITY (SU)

Department of Business Administration
Program: BBA
Semester Final Examination, Summer 2025
Section: BBA0225-Euphorbia (31A3)
Course Code: BA 2205
Course Title: Financial Management
Course Teacher: Md. Shahbub Alam
Set: A

Time: 2 Hours **Full Marks: 40**

Instruction: Marks in the right margin indicate marks of the question.
Answer any four questions out of five questions. All questions are of equal value.

1. Details of the capital structure of Celtic Enterprises, a specialist printing company, are as follows: 10 PLO 3, CLO 3

Sources of Capital	TK. (million)
Ordinary share capital (Tk. 1 ordinary shares fully paid)	5
6% Preference shares (Tk. 1 nominal value)	2
Retained earnings	14
7% Debentures (irredeemable) Tk. 100 par	1
8% Debentures (redeemable) Tk. 100 par	2

Ordinary shares are currently trading at Tk. 2.90 and a dividend of 35 paisa per share is due for payment. Dividend per share has been growing at 4 per cent per annum and the directors expect this rate of growth to continue. Preference shares have a current market value of Tk. 0.90.

The irredeemable debentures are trading at Tk. 95. The redeemable debentures are due for redemption in 4 years' time and currently have a market value of Tk. 88. The rate of corporation tax is 40 per cent.

Calculate the weighted average cost of capital (WACC).

2. (a) Discuss why retained earnings are generally considered a cheaper source of equity financing compared to issuing new ordinary shares. 5 PLO 3, CLO

(b) The financial manager of Blue Ocean Ltd. wants to determine the firm's cost of equity capital using the Capital Asset Pricing Model (CAPM). According to the firm's financial advisor, the risk-free rate is currently 5%, the expected market return is 10%, and the company's beta is 1.5. 5 PLO 4, CL

Using this information, calculate the cost of equity.

3. RFL Industries' most recent annual dividend was Tk. 7.80 per share, and the firm's required return is 12%. Find the market value of RFL's shares when: 10 PLO 4, C